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Case Number: 25STCV26720 Hearing Date: August 10, 2026 Dept: 731

[TENTATIVE] ORDER RE: DEFENDANT

MERCEDES-BENZ USA, LLC'S MOTION TO COMPEL BINDING ARBITRATION

Moving Party: Defendant, Mercedes-Benz USA, LLC

Opposing Party: Plaintiff's Late Opposition submitted August 6 2026

Notice: OK

Background Facts

Plaintiffs Kelly Sinclair and Brick

House Development, LLC ("Brick House") sue Defendants Mercedes-Benz USA, LLC ("Mercedes-Benz"), Miller-DM, Inc. dba Mercedes-Benz of Beverly Hills, and Does 1-20 pursuant to a September 11, 2025, Complaint alleging (1)-(2) two statutory Song-Beverly Warranty Consumer Act ("SBA") claims against Mercedes-Benz and (3) a negligent repair claim against Miller-DM, Inc.

Now before the Court is

Mercedes-Benz's unopposed, May 20, 2026, motion to compel arbitration of Plaintiff's claims against it pursuant to Plaintiff's motor vehicle lease agreement with Miller-DM, Inc. The motion was properly served at , the email address of record for Plaintiff's counsel.

Motion to Compel

Arbitration

a. Legal

Standard

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by the agreement. (Code Civ. Proc., § 1281.2.) Absent a viable defense to enforcement, the court must grant the motion if it determines there is an agreement to arbitrate that has not been rescinded. (See Code Civ. Proc., § 1281.2; see also *Cinel v. Barna* (2012) 206 Cal.App.4th 1383, 1389 [“Under section 1281.2, the court shall order a matter to arbitration if it determines that there is an agreement to arbitrate and (1) the agreement has not been waived or (2) the agreement has not been revoked”].) Even where the FAA governs the interpretation of arbitration clauses, California law governs whether an arbitration agreement has been formed in the first instance. (*Baker v. Osborne Development Corp.* (2008) 159 Cal.App.4th 884, 893.)

The party seeking arbitration has the “burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence[.]” (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) “Once that burden is satisfied, the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition.” (*Lacayo v. Cataline Restaurant Group Inc.* (2019) 38 Cal.App.5th 244, 257.)

“The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination.” (*Ruiz v. Moss Bros. Auto Group, Inc.*, *supra*, at p. 842.) “A party required to prove something by a preponderance of the evidence ‘need prove only that it is more likely to be true than not true.’ [Citation.] Preponderance of the evidence means “‘that the evidence on one side outweighs, preponderates over, is more than, the evidence on the other side, not necessarily in number of witnesses or quantity, but in its effect on those to whom it is addressed.’” [Citations.] In other words, the term refers to ‘evidence that has more convincing force than that opposed to it.’ [Citations.]” (*People ex rel. Brown v. Tri-Union Seafoods, LLC* (2009) 171 Cal.App.4th 1549, 1567.)

Discussion

After review, the Court finds in

favor of Mercedes-Benz.

i. Defendant's
Burden

1. Contract
Formation

"Parties are not required to arbitrate their disagreements unless they have agreed to do so. [Citation.] A contract to arbitrate will not be inferred absent a 'clear agreement.' [Citation.] When determining whether a valid contract to arbitrate exists, we apply ordinary state law principles that govern contract formation. [Citation] In California, a 'clear agreement' to arbitrate may be either express or implied in fact. [Citation.]" (Davis v. Nordstrom, Inc. (9th Cir. 2014) 755 F.3d 1089, 1092-93 [applying California law].) The court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity. (Condee v. Longwood Management Corp., supra, 88 Cal.App.4th at p. 219.) The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence. (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 164-165 (Gamboa), citations omitted.)

Here, Mercedes Bens argues that it has standing to invoke an arbitration clause in the lease agreement for the subject vehicle in this litigation. (Motion, pp. 5-6.)

No opposition appears in the record to dispute this position despite proper service of Mercedes-Benz's motion.

After review, the Court agrees with Mercedes-Benz.

The relevant lease agreement, attached as Exhibit A to the Ameripour declaration supporting Plaintiff's motion, provides at page 4, Important Arbitration Disclosures, that "[a]ny claim or dispute ... between [Plaintiff] and [Miller-DM, Inc.] or ...the vehicle distributor, including Mercedes-Benz USA LLC (each a 'Third Party Beneficiary'), [...] shall, at the election of either you, us, or a Third Party Beneficiary, be

resolved by a neutral, binding arbitration and not by court action.” (Motion, Ameripour Decl., Ex. 2, p. 4.)

Such an agreement satisfies the requirements for third-party beneficiary standing, set forth in *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830 requiring a showing that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made: (1) “the third party would in fact benefit from the contract”; (2) “a motivating purpose of the contracting parties was to provide a benefit to the third party”; and (3) permitting the third party to enforce the contract “is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.”

Here, the agreement directly references Mercedes-Benz as a third-party beneficiary, the benefit of arbitration to Mercedes-Benz is patent on the face of the lease agreement, and permitting Mercedes-Benz to enforce the agreement is in line with the very nature of the agreement itself. (See, e.g., Motion, Ameripour Decl., Ex. 2, p. 4 [“Nothing in this paragraph shall prevent you from requesting that the applicable arbitration entity reduce or waive your fees, or that we or a Third Party Beneficiary voluntarily pay an additional share of said fees, based upon your financial circumstances or the nature of your claim.”].)

2. Scope

“[T]he decision as to whether a contractual arbitration clause covers a particular dispute rests substantially on whether the clause in question is ‘broad’ or ‘narrow.’” (*Bono v. David* (2007) 147 Cal.App.4th 1055, 1067.) “A “broad” clause includes those using language such as “any claim arising from or related to this agreement” [Citation] or ‘arising in connection with the [a]greement’ [Citation.]” (*Rice v. Downs* (2016) 248 Cal.App.4th 175, 186 [italics omitted].) “But clauses requiring arbitration of a claim, dispute, or controversy ‘arising from’ or ‘arising out of’ an agreement, i.e., excluding language such as ‘relating to this agreement’ or ‘in connection with this agreement,’ are ‘generally considered to be more limited in scope than would be, for example, a clause agreeing to arbitrate “any controversy ... arising out of or relating to this agreement[.]” [Citations.]” (Id. at p. 186-87 [italics omitted].) “Several Ninth Circuit cases have held that agreements requiring arbitration of ‘any dispute,’ ‘controversy,’ or ‘claim’ ‘arising under’ or ‘arising out of’

the agreement are intended to encompass only disputes relating to the interpretation and performance of the agreement.” (Id. at p. 187.)

Here, Mercedes-Benz contends that the arbitration clause in the lease agreement covers the two SBA claims against it in Plaintiff’s Complaint. (Motion, pp. 9-10.)

No opposition appears in the record to dispute this position despite proper service of Mercedes-Benz’s motion.

After review, the Court disagrees with Mercedes-Benz.

The pertinent clause in the lease agreement reads: “Any claim or dispute, whether in contract, tort or otherwise [...], which arises out or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by court action.” (Motion, Ameripour Decl., Ex. 2, p. 4.)

Here, the question is whether the SBA claims stated in the Complaint against Mercedes-Benz “arise out of” or “relate to” “any resulting transaction or relationship arising out of th[e] lease[]” agreement at issue in the Complaint, and which underlies the Complaint’s third cause of action of negligent repair against Miller-DM, Inc.

The Court finds in the negative.

Specifically, the Court relies on Ford Motor Warranty Cases (Ochoa) (2023) 89 Cal.App.5th 1324, 1338-1340, review granted Jul. 19, 2023, S279969 [532 P.3d 270] (Ochoa). In Ochoa—cited for its persuasive value—the court of appeal reasoned that SBA claims by a signatory vehicle purchaser against the vehicle’s manufacturer did not arise from the sales contract for the purchase of the vehicle because the claims did not rely on the sales contract insofar as “[t]he sale contracts include[d] no warranty, nor any assurance regarding the quality of the vehicle sold, nor any promise of repairs or other remedies in the event problems ar[o]se” and where “California law does not treat manufacturer warranties imposed outside the four corners of a retail

sale[s] contract as part of the sale[s] contract.” (Ochoa, supra, 89 Cal.App.5th at pp. 1335-1336.)

The Court agrees with this reasoning and notes that, here, the Complaint’s claims arise from the SBA, not terms contained in the Vehicle’s sales contract. (See Complaint, ¶¶ 36-41 & 48, 52 [SBA claims turning on violations of the Song-Beverly Consumer Warranty Act, with no reference to lease agreement].)

Accordingly, the Court determines that the scope of the arbitration clause in the lease agreement, though broad (“arising out of”; “relating to”), does not encompass the Complaint’s SBA claims against Mercedes-Benz.

3. Interstate Commerce

The Court does not consider the interstate commerce component of a motion to compel arbitration brought under the Federal Arbitration Act, having already determined that Mercedes-Benz has failed to carry its burden to show that a contract between the parties covers the claims alleged against it in the Complaint.

ii. Plaintiff's Burden

As Mercedes-Benz failed to carry its burden to show that a contract between the parties covers the claims alleged against it in the Complaint, the Court need not address Plaintiff’s defenses to the contract—though the Court notes that no opposition appears in the record.

c. Conclusion

Defendant Mercedes-Benz USA, LLC’s motion to compel arbitration is DENIED.

Defendant Mercedes-Benz USA, LLC is ordered to give notice.

Parties who intend to submit

on this tentative must send an email to the court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.